NAJRAN CEMENT COMPANY
(A SAUDI JOINT STOCK COMPANY)

INDEPENDENT AUDITOR'S REVIEW REPORT AND UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

FOR THE THREE-MONTH PERIOD ENDED 31 MARCH 2024

Najran Cement Company
(A Saudi Joint Stock Company)

INDEPENDENT AUDITOR’S REPORT AND NOTES TO THE FINANCIAL STATEMENTS
As at 31 March 2024

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INDEPENDENT AUDITOR'S REVIEW REPORT ON THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS TO THE SHAREHOLDERS OF NAJRAN CEMENT COMPANY (A SAUDI JOINT STOCK COMPANY)

Introduction

We have reviewed the accompanying interim condensed consolidated statement of financial position of Najran Cement Company (A Saudi Joint Stock Company) (the "Company") and its subsidiary (collectively referred to as "the Group") as at 31 March 2024, and the related interim condensed consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the three-month period then ended, and other explanatory notes. The Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Accounting Standard 34, "Interim Financial Reporting" ("IAS 34") as endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" endorsed in the Kingdom of Saudi Arabia. A review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Basis for Qualified Conclusion

1- As at 31 March 2024, the interim condensed consolidated financial statements include 'property, plant and equipment' amounting to SR 2,016 million (31 December 2023: SR 2,030 million) and depreciation expense of property, plant, and equipment' amounting to SR 21.1 million for the three-month period then ended (three-month period ended 31 March 2023: SR 18.4 million). The Group depreciates 'property, plant and equipment' using the declining balance method. It is however our assessment that the depreciation method has been applied incorrectly and the carrying value of 'property, plant and equipment', accumulated depreciation, retained earnings and the depreciation charge for the periods presented are consequently incorrect. We have requested from management, but have not been provided, an impact of the revised application of the depreciation calculated on the declining balance method. Consequently, we are unable to determine whether any adjustments are required to the interim condensed consolidated financial statements as at and for the period ended 31 March 2024.

2-As mentioned in Note 8, the inventories balance as at 31 March 2024, includes consumable spare parts with a gross carrying value of SR 116 million. However, there are long-aged (slow moving) items included therein which form part of these consumable spare parts. We were unable to obtain sufficient appropriate evidence to conclude whether management's assessment of the provision for slow moving items is reasonable and were unable to determine whether any adjustments to the interim condensed consolidated financial statements as at and for the period ended 31 March 2024 were necessary.

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INDEPENDENT AUDITOR'S REVIEW REPORT ON
THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
TO THE SHAREHOLDERS OF NAJRAN CEMENT COMPANY (A SAUDI JOINT STOCK COMPANY)
(continued)

Qualified Conclusion

Except for the adjustments to the interim condensed consolidated financial statement that we might have become aware of had it not been for the situation described above , based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statement has not been prepared, in all material respects, in accordance with International Accounting Standard 34 - Interim Financial Reporting as endorsed in the Kingdom of Saudi Arabia.

Other Matter:

The interim condensed consolidated financial statements of the Group for the three months period ended 31 March 2023 were reviewed by another auditor who expressed unmodified review conclusion on those interim condensed consolidated financial statements on 28 Shawwal 1444H (corresponding to 18 May 2023G)

for Ernst & Young Professional Services

Abdulaziz S. Alarifi
Certified Public Accountant
License No. (572)

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CR.4030276644
شركة إرنست ويونغ للخدمات المهنية
(مهنية ذات مسؤولية محدودة)
Ernst & Young Professional Services
(Professional LLC)

Jeddah: 13 Thul-Qi'dah 1445H
21 May 2024G

Najran Cement Company
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at 31 March 2024

	Note	*31 March 2024 (Unaudited) SR '000*	*31 December 2023 (Audited) SR '000*
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	7	**2,016,928**	2,030,154
TOTAL NON-CURRENT ASSETS		**2,016,928**	2,030,154
CURRENT ASSETS			
Inventories	8	**418,548**	408,197
Trade receivables	9	**24,764**	21,076
Prepayments and other receivables		**26,542**	30,287
Cash and cash equivalents		**8,383**	16,015
TOTAL CURRENT ASSETS		**478,237**	475,575
TOTAL ASSETS		**2,495,165**	2,505,729
EQUITY AND LIABILITIES			
EQUITY			
Share capital	10	**1,700,000**	1,700,000
Statutory reserve		**163,620**	163,620
Retained earnings		**159,702**	138,155
TOTAL EQUITY		**2,023,322**	2,001,775
NON-CURRENT LIABILITIES			
Provision for employees' benefits		**45,277**	45,267
Non-current portion of lease liability		**2,103**	2,103
Rehabilitation provision		**1,047**	1,047
Long term financing	11	**272,808**	274,057
TOTAL NON-CURRENT LIABILITIES		**321,235**	322,474
CURRENT LIABILITIES			
Zakat payable	12	**9,560**	8,030
Current portion of lease liability		**255**	255
Current portion of long-term financing	11	**50,338**	64,422
Contract liability - advances from customers		**6,092**	6,490
Trade payables		**41,706**	44,835
Accrued and other payables		**41,203**	55,994
Dividends payable		**1,454**	1,454
TOTAL CURRENT LIABILITIES		**150,608**	181,480
TOTAL LIABILITIES		**471,843**	503,954
TOTAL EQUITY AND LIABILITIES		**2,495,165**	2,505,729

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Mr. Abdulsalam Abdullah Aldraibi	Mr. Waleed Ahmed Bamarouf

The attached notes from 1 to 19 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the three-month period ended 31 March 2024

	Note	*For the three-month period ended 31 March* 2024 (Unaudited) SR '000	2023 (Unaudited) SR '000
Sales	13	**138,127**	143,683
Cost of sales		**(97,998)**	(98,364)
GROSS PROFIT		**40,129**	45,319
Selling and distribution expense		**(2,503)**	(2,066)
General and administrative expense		**(9,301)**	(8,038)
OPERATING PROFIT		**28,325**	35,215
Finance costs		**(6,411)**	(4,897)
Other income		**1,163**	701
PROFIT BEFORE ZAKAT		**23,077**	31,019
Zakat	12	**(1,530)**	(2,038)
NET PROFIT FOR THE PERIOD		**21,547**	28,981
EARNINGS PER SHARE			
Basic and diluted earnings per share attributable to equity holders of the Company (SR)	14	**0.13**	0.17

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Mr. Abdulsalam Abdullah Aldraibi	Mr. Waleed Ahmed Bamarouf

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Najran Cement Company
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the three-month period ended 31 March 2024

	For the three-month period ended 31 March	
	2024 (Unaudited) SR '000	*2023 (Unaudited) SR '000*
NET PROFIT FOR THE PERIOD	**21,547**	28,981
OTHER COMPREHENSIVE INCOME ("OCI")		
OTHER COMPREHENSIVE INCOME	-	-
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	**21,547**	28,981

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Mr. Abdulsalam Abdullah Aldraibi	Mr. Waleed Ahmed Bamarouf

The attached notes from 1 to 19 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the three-month period ended 31 March 2024

	Notes	*Share capital SR '000*	*Statutory reserve SR '000*	*Proposed dividends SR '000*	*Retained earnings SR '000*	*Total Equity SR '000*
As at 1 January 2024 – (Audited)		**1,700,000**	**163,620**	-	**138,155**	**2,001,775**
Net profit for the period		-	-	-	21,547	21,547
Other comprehensive income		-	-	-	-	-
Total comprehensive income for the period		-	-	-	21,547	21,547
Balance as at 31 March 2024 (Unaudited)		**1,700,000**	**163,620**	-	**159,702**	**2,023,322**
As at 1 January 2023 (Audited)		1,700,000	156,677	-	119,128	1,975,805
Net profit for the period		-	-	-	28,981	28,981
Other comprehensive income		-	-	-	-	-
Total comprehensive income for the period		-	-	-	28,981	28,981
Dividends	17	-	-	42,500	(42,500)	-
Balance as at 31 March 2023 (Unaudited)		1,700,000	156,677	42,500	105,609	2,004,786

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Mr. Abdulsalam Abdullah Aldraibi	Mr. Waleed Ahmed Bamarouf

The attached notes from 1 to 19 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

For the three-month period ended 31 March 2024

		For the three-month period ended 31 March	
	Note	*2024 (Unaudited) SR '000*	*2023 (Unaudited) SR '000*
OPERATING ACTIVITIES			
Profit before zakat		**23,077**	31,019
Adjustments to reconcile income before zakat to net cash flows:			
Depreciation	7	**21,111**	18,405
(Gain) on disposal of property, plant and equipment		**-**	(216)
Finance cost		**4,667**	4,897
Provision for employees' benefits		**1,159**	1,144
		50,014	55,249
Working capital adjustments			
Trade receivables		**(3,688)**	4,066
Inventories		**(10,351)**	(5,118)
Prepayments and other receivables		**3,745**	(23,023)
Contract liability - advances from customers		**(398)**	935
Trade payables		**(3,129)**	3,987
Accrued and other payables		**(14,791)**	(8,663)
Net cash generated from operations		**21,402**	27,433
Finance costs paid		**-**	(46)
End of service benefits paid		**(1,149)**	(348)
Net cash from operating activities		**20,253**	27,039
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	7	**(7,885)**	(27,391)
Proceeds from disposal of property, plant & equipment	7	**-**	347
Net cash used in investing activities		**(7,885)**	(27,044)
FINANCING ACTIVITIES			
Proceeds from long-term loans		**20,000**	30,881
Payment of long-term loan		**(40,000)**	-
Net cash (used in) from financing activities		**(20,000)**	30,881
NET (DECREASE)/INCREASE IN CASH AND BANK BALANCES		**(7,632)**	30,876
Cash and cash equivalents at the beginning of the period		**16,015**	39,314
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD		**8,383**	70,190

CFO	**Board of Directors member and CEO**	**Authorized Board Member and Chairman of the Audit Committee**
Rami Jawad Abu Jneid	Mr. Abdulsalam Abdullah Aldraibi	Mr. Waleed Ahmed Bamarouf

The attached notes from 1 to 19 form an integral part of these interim condensed consolidated financial statements.

1 CORPORATE INFORMATION

Najran Cement Company ("the Company" or "the Parent Company"), a Saudi Joint Stock Company, registered at Najran on 5 Ramadan 1426 (corresponding to 9 October 2005) under Commercial Registration number 5950010479. On 10 Shaaban 1437 (corresponding to 17 May 2016), the Company was granted an Industrial License, number 2446. The Company's shares are listed in the Capital Market Authority (CMA) in the Kingdom of Saudi Arabia.

The principal activities of the Company are manufacturing of ordinary portland cement and cement resistant to salts.

These interim condensed consolidated financial statements comprise the Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (together referred to as the "Group").

The subsidiary Company is registered as a limited liability Company at Najran was established on 23 Dhul- Hijjah 1441 (corresponding to 8 August 2020) under Commercial Registration number 5950119264. On 02 Shaaban 1442 (corresponding to 15 March 2021), the subsidiary company was granted transportation License, number 11/00007925.

The principal activity of the subsidiary company is land transport of goods.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.1 Statement of compliance

The interim condensed consolidated financial statements for the period ended 31 March 2024 have been prepared in accordance with International Accounting Standard 34 - Interim Financial Reporting ("IAS 34") as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by Saudi Organization for Chartered and Professional Accountants ("SOCPA"). The Group has prepared the interim condensed consolidated financial statements on the basis that it will continue to operate as a going concern. The management consider that there are no material uncertainties that may cast significant doubt over this assumption. They have formed a judgement that there is a reasonable expectation that the Group has adequate resources to continue in operational existence for the foreseeable future, and not less than 12 months from the end of the reporting period.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual financial statements and should be read in conjunction with the Group's annual consolidated financial statements for the year ended 31 December 2023. In addition, results of the interim period ended 31 March 2024 are not necessarily indicative of the results that may be expected for the financial year ending 31 December 2024.

2.2 Basis of measurement

These interim condensed consolidated financial statements are prepared under the historical cost convention using the accrual basis of accounting and going concern concept, except for the following items which are measured as follows:

Items	*Measurement basis*
Employee defined benefit liabilities	Present value of the defined benefit obligation using projected credit unit method

2.3 Functional and presentation currency

These interim condensed consolidated financial statements are presented in Saudi Riyals (SR), which is also the Group's functional and presentation currency.

2.4 Significant accounting judgements, estimates and assumptions

The preparation of the Group's interim condensed consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

2.4 Significant accounting judgements, estimates and assumptions(continued)

The significant judgments made by management in applying the Group's accounting policies and the methods of computation and the key sources of estimation are the same as those that applied to the consolidated financial statements for the period ended 31 March 2024.

3 BASIS OF CONSOLIDATION

These interim condensed consolidated financial statements include the financial information of the Parent Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (together referred to as the "Group"), In which the Group exercises control as at 31 March 2024.

Subsidiary name	*Country of incorporation*	*Principal business activity*	*Effective ownership interest*	
			31 March 2024	*31 December 2023*
Wasl Al Janub Land Transportation Company	KSA	land transport of goods	**100%**	100%

The financial statements of the subsidiary are prepared for the same reporting period as that of the Group, using consistent accounting policies of the Group.

Transactions eliminated on consolidation
Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

Unrealized losses (if any) are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has control over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee.
- Rights arising from other contractual arrangements.
- The Group’s voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the period are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the Group is exposed, or has rights, to variable returns from its transactions with the investee and has the ability to affect those returns through exercising its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give the Group the current ability to direct the relevant activities of the investee).
- Exposure, or rights, to variable returns from its transactions with the investee.
- The ability to use its power over the investee to affect its returns.

3 BASIS OF CONSOLIDATION (continued)

Transactions eliminated on consolidation (continued)
Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has control over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee.
- Rights arising from other contractual arrangements.
- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the period are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

4 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2023, except for the adoption of new standards effective as of 1 January 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Several amendments apply for the first time in 2024, but do not have an impact on the interim condensed consolidated financial statements of the Group.

Amendments to IFRS 16: Lease Liability in a Sale and Leaseback
In September 2022, the IASB issued amendments to IFRS 16 to specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.

The amendments had no impact on the Group's interim condensed consolidated financial statements.

Amendments to IAS 1: Classification of Liabilities as Current or Non-current
In January 2020 and October 2022, the IASB issued amendments to paragraphs 69 to 76 of IAS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

In addition, a requirement has been introduced to require disclosure when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months.

The amendments had no impact on the Group's interim condensed consolidated financial statements.

Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7
In May 2023, the IASB issued amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures to clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

4 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP (continued)

Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7 (continued)
The amendments will be effective for annual reporting periods beginning on or after 1 January 2024. Early adoption is permitted but will need to be disclosed.

The amendments had no impact on the Group's interim condensed consolidated financial statements.

5 STANDARDS ISSUED BUT NOT YET EFFECTIVE

Lack of exchangeability – Amendments to IAS 21
In August 2023, the IASB issued amendment of IAS 21. The amendment specifies how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. When an entity estimates a spot exchange rate because a currency is not exchangeable into another currency, it discloses information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or expected to affect, the entity's financial performance, financial position and cash flows.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2025. Early adoption is permitted but will need to be disclosed.

The amendment is not expected to have a material impact on the Group's interim condensed consolidated financial statements.

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture – Amendments to IFRS 10 and IAS 28
The amendments address the conflict between IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognised when a transfer to an associate or joint venture involves a business as defined in IFRS 3 Business combinations. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognised only to the extent of unrelated investors' interests in the associate or joint venture.

In December 2015, the IASB decided to defer the effective date of the amendments until such time as it has finalised any amendments that result from its research project on the equity method. Early application of the amendments is still permitted but will need to be disclosed.

6 SEGMENTAL REPORTING

The Group is engaged in one operating segment, i.e., manufacturing cement and operates in entirely from the Kingdom of Saudi Arabia and certain foreign jurisdictions. Accordingly, the financial information was not divided onto different geographic or business segments. Further, significant amount of liabilities of the Group are payable in Saudi Arabia.

7 PROPERTY, PLANT AND EQUIPMENT

For purpose of preparing the interim condensed consolidated statement of cash flows, movement in property, plant and equipment during the three-month period ended 31 March is as follows:

	31 March 2024 (Unaudited) SR '000	*31 March 2023 (Unaudited) SR '000*
Depreciation	**21,111**	18,405
Additions to property, plant and equipment	**(7,885)**	(27,391)
Proceeds from disposal of property, plant & equipment	**-**	347

8 INVENTORIES

	31 March 2024 SR'000	*31 December 2023 SR'000*
Spare parts – Consumables not for sale	**116,760**	118,453
Work in process	**274,303**	263,390
Raw materials, fuel and packing materials	**28,142**	27,857
Finished goods	**6,666**	5,820
	425,871	415,520
Less: Provision for obsolete spare parts	**(7,323)**	(7,323)
Total	**418,548**	408,197

9 TRADE RECEIVABLES

9.1 Trade Receivables

	31 March 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Trade receivables	**26,343**	22,655
Less: provision for expected credit loss	**(1,579)**	(1,579)
	24,764	21,076

9 TRADE RECEIVABLES (continued)

9.1 Trade Receivables (continued)

Trade receivables are non-interest bearing and are generally payable on demand.

9.2 Movement in the provision for expected credit loss is as follows:

	31 March 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Balance at the beginning of the period / year	**1,579**	1,979
Charge during the period / year	**-**	-
Reversal during the period / year	**-**	(400)
Balance at the end of the period / year	**1,579**	1,579

10 SHARE CAPITAL

The authorized share capital of the Group comprised 170 million ordinary shares stated at SR 10 per share. All shares are issued and fully paid. (31 December 2023: 170 million ordinary shares stated at SR 10 per share).

11 LOANS TERM FINANCING

11.1 Long & short terms borrowings

Long & short terms borrowing from commercial banks is presented as follows:

	31 March 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Principal amount, beginning balance	**335,654**	278,500
Addition during the period / year	**20,000**	115,000
Less: repayments /redemptions during the period / year	**(40,000)**	(57,846)
Net principal amount	**315,654**	335,654
Accrued mark up for the period / year	**7,492**	2,825
	323,146	338,479
Less: Current portion	**(50,338)**	(64,422)
Balance at the end of the period / year	**272,808**	274,057

11.2 Tawarruq

During the year 2022, the Parent Company signed new banking facilities agreement (Tawarruq) with a local Bank.in the same year the company utilized SR 278.5 million which are repayable in seven years over thirteen equal semi-annual instalments starting from May 2023, and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by a promissory note. During the year 2023, the Parent Company utilized SR 35 million as a short-term facilities, for the general purposes of the company.

11 LOANS TERM FINANCING (continued)

11.2 Tawarruq (continued)

The new facilities are repayable in during the next 6 months and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. secured by a promissory note.

During the year 2023, the Group subsidiary signed new banking facilities agreement (Tawarruq) with a local bank and utilized SR 80 million long term facilities to finance its capital expenditures. The new facilities are repayable in six years over twelve equal semi-annual instalments starting from September 2024 and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by some of the subsidiary’s vehicles and promissory note. The carrying values of the borrowings are denominated in Saudi riyals.

During 2024, the Parent Company utilized SR 20 million as a short-term facility, for the general purposes of the company.

12 ZAKAT

The movement in zakat payable on the Group was as follows:

	31 March 2024 (Unaudited) SR '000	*31 December 2023 (Audited) SR '000*
Balance at beginning of the period / year	**8,030**	7,904
Provided during the period / year	**1,530**	6,721
Reversed during the period / year	**-**	(569)
Paid during the period / year	**-**	(6,026)
Balance at the end of the period / year	**9,560**	8,030

The Group submitted its zakat returns to the Zakat, Tax and Customs Authority (ZATCA) for the years up to 31 December 2022, and the Group paid the liabilities for these years based on the zakat returns. The final assessment was obtained for the years from 2006 to 2011 as well as for the years from 2014 to 2020.

13 SALES

13.1 Disaggregated Sales information

	For the three-month period ended 31 March	
	2024	*2023*
	(Unaudited)	*(Unaudited)*
	SR '000	*SR '000*
Product type		
Cement	**138,127**	143,683
Total sales	**138,127**	143,683
Customer type		
Corporate customers	**138,127**	143,683
Total sales	**138,127**	143,683
Geographical markets		
Local	**134,803**	125,478
Export	**3,324**	18,205
Total sales	**138,127**	143,683

13.2 Performance obligations - point in time

The performance obligation is satisfied at a point in time and payment is generally due in advance or on demand.

14 EARNINGS PER SHARE

The Group presents basic and diluted earnings per share for its ordinary shares. Basic is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

	For the three-month period ended 31 March	
	2024	*2023*
	(Unaudited)	*(Unaudited*
Profit for the period attributable to the shareholders of the Company (in SR '000)	**21,547**	28,981
Weighted average number of ordinary shares for the purposes of basic and diluted earnings Basic ('000 shares)	**170,000**	170,000
Basic and diluted profit per share based on profit for the period attributable to shareholders of the Company (in SR)	**0.13**	0.17

15 CONTINGENCIES AND COMMITMENTS

The Group was contingently liable for letters of credit and bills for collections issued in the normal course of the business amounting to SR 14,406 thousand as at 31 March 2024 (31 December 2023: SR 12,311 thousand).

16 RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, Board of Directors, the Group key management personnel and enterprises managed or significantly influenced by those parties. The following are the details of major-related parties' transactions during the three-month period ended 31 March 2024 compared to the three-month period ended 31 March 2023:

Due to related parties		***For the three-month period ended 31 March (Unaudited)***	
		2024	*2023*
Related party	***Nature of transaction***	***SR'000***	*SR'000*
Yaal Alarabeya Company	Sales to related party	**-**	54

Allowances and compensation of the Board of Directors and senior executives
The Group's senior management includes key management personnel and executives, Board of Directors, having authorities and responsibilities for planning, directing and controlling the activities of the Group.

Board of Directors and committees' compensation charged during the three-month period ended 31 March 2024 amounting to 954 thousand (31 March 2023: SR 1,079 thousand).

Key management personnel compensation comprised the following:

	31 March 2024 (Unaudited) SR'000	*31 March 2023 (Unaudited) SR'000*
Short term employee benefits	**3,522**	3,337
Post-employment benefits	**338**	72
	3,860	3,409

17 DIVIDENDS

On 11 March 2023G, (corresponding to 19 Shaaban 1444H), the Board of Directors recommended the distribution of dividends in the amount of 42.5 million Saudi riyals (SR 0.25 per share) after obtaining the approval of the shareholders in the General Assembly. On April 11, 2023G (corresponding to 20 Ramadan 1444H), the shareholders in the General Assembly meeting approved the recommendation of the Board of Directors. The dividends were paid on 4 May 2023G (corresponding to 14 Shawwal 1444H).

18 FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

18 FAIR VALUE MEASUREMENT (continued)

A fair value measurement of a non- financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All financial instruments for which fair value is recognized or disclosed are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement, as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or liability falls into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest input level that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. There were no transfers among the levels during the period.

The management assessed that the fair value of financial assets and financial liabilities approximate their carrying amounts primarily due to the short-term maturities of these instrument.

19 APPROVAL OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

These interim condensed consolidated financial statements were authorized for issue by the Group's board of directors on 8 Duh Al-Qi’dah 1445H (16 May corresponding 2024G).